

Tempus AI, Inc.
TEM NASDAQ

Buy	\$46.66 ▲ 1.04%	12M Price Target \$65.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.38B
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TEM: BMS Partnership and ArteraAI Launch Reinforce Platform Flywheel

WHAT'S CHANGED

- BMS strategic partnership (announced 5/23) deepens TEM's pharma data-licensing pipeline, layering recurring AI drug-discovery revenue on top of existing collaborations and expanding the multimodal data flywheel.
- ArteraAI Prostate Test launch (5/24) — first externally developed digital pathology algorithm on the platform — validates Tempus as an open AI infrastructure layer for oncology, not just a first-party assay vendor.

IMPLICATIONS

No new material overnight filings; the thesis is unchanged. Monitor price action and sector rotation for near-term entry signals.

VALUATION

See key data table.

KEY RISKS

- Persistent operating losses and equity dilution risk if cash burn accelerates ahead of Data & Services scaling
- Reimbursement pressure on Genomics segment (xT, xR) from CMS or commercial payors compressing test economics
- Concentration risk in pharma partnerships — BMS, AZ, GSK deals carry milestone-based revenue lumpiness

RECENT NEWS

Tempus AI (TEM) Launches ArteraAI Prostate Test, The First Externally Developed Digital Pa... Insider Monkey · 2026-05-24 13:06

Tempus AI, Inc. (TEM) and Bristol Myers Announce a Strategic Partnership Insider Monkey · 2026-05-23 04:49

Assessing Tempus AI (TEM) Valuation After Recent Share Price Weakness Simply Wall St. · 2026-05-19 00:21

Tempus AI And BMS Deepen AI Drug Development Ties As Losses Persist Simply Wall St. · 2026-05-18 18:12

7 Healthcare AI Stocks Under \$50 With Huge Upside Potential 24/7 Wall St. · 2026-05-18 11:35

Key Data

Price (USD)	\$46.66
12M Price Target	\$65.00
Upside / (Downside)	+39.3%
Market Cap	\$8.38B
FY2026E Revenue	\$1,290M
FY2027E Revenue	\$1,640M
FY2026E EPS	(\$1.35)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



TEM — Tempus AI, Inc. | May 26, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$55.00	\$48.00	\$40.00
6 Months	\$72.00	\$58.00	\$38.00
1 Year	\$90.00	\$65.00	\$32.00
2 Years	\$120.00	\$80.00	\$28.00
5 Years	\$200.00	\$120.00	\$20.00
10 Years	\$400.00	\$200.00	\$15.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Industrials

COLD SECTORS: Communication Services, Real Estate

ROTATION WATCH: Tech leadership (+6.2% 5D) is broadening from mega-cap into AI-application names; healthcare-AI hybrids like TEM, RXRX, SDGR sit at the intersection and should catch bid as generalist funds redeploy.

BYPRODUCT PLAY: Pharma's rising AI R&D spend (BMS, AZ, Lilly) creates a tollbooth opportunity for multimodal data vendors; secondary beneficiaries include SDGR, RXRX, and clinical-data plays like VEEV's R&D Cloud.

OUTPERFORMERS & PEER CONTEXT

- RXRX (Recursion Pharmaceuticals): AI drug-discovery platform commanding premium EV/Revenue on Roche/Bayer milestone visibility despite earlier-stage pipeline
- VEEV (Veeva Systems): Clinical/R&D Cloud growing high-teens with 40%+ operating margins — the profitability template TEM must converge toward
- GH (Guardant Health): Liquid-biopsy peer trading ~8x EV/Revenue with Shield colon launch driving volume re-acceleration

TEM CONTEXT: TEM is lagging the Tech ETF rally (+6.2% 5D vs TEM ~+2.5%) and sits at just 8% of its 52-week range, indicating peer-relative underperformance despite positive catalysts. The disconnect creates an attractive setup if BMS revenue contribution becomes quantifiable on the Q2 call.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$44-48 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >10%, BMS deal scope reduction, or Genomics gross margin compression below 40%

Hedging: Pair against richer-multiple diagnostics peer (e.g., GH) or NBI puts